FY2026 Equipment and Leases Audit · Draft Findings for the CPA

Findings for the CPA from audit procedures; not an audit report and no opinion.

Client	HANGS General Contracting LP
Period	Fiscal year July 1, 2025 to June 30, 2026
Area	Property and equipment and leases: the roll-forward, additions and approvals, the disposal, depreciation, useful lives, impairment indicators and ASC 842.
Prepared from	11 files: the trial balance, the fixed asset register, the purchase invoices and signed requests, the scrap certificate, the hours log, the policy, the rental register, the crane agreement, the office lease amendment and the controller's lease schedule
Prepared by	The F1 Finance Audit Machine, a demonstration. Fixed procedures on invented data; no AI model was used.
Status	Draft. Not reviewed, concluded or signed. Nothing was posted or sent to the client, the bank or the bonding company.

Materiality, Proposed

Contract revenue for the year, the benchmark	$71,055,500.00
Materiality: 0.5% of revenue, rounded down	$350,000.00
Performance materiality: 75%	$262,500.00

What the Procedures Found

Procedure	What was found	Amount
Roll-forward	Equipment cost and accumulated depreciation roll forward to the trial balance; the difference	$0.00
Depreciation	Every asset recomputes at its register life to account 6600	$1,351,000.00
Additions	A repair to excavator EQ-3388 capitalized inside the new skid steer EQ-4416 (CAP-01)	$34,800.00
Approvals	EQ-4415, GPS equipment, bought with no signed capital expenditure request (APR-01)	$84,150.00
Disposal	EQ-3102 scrapped, fully depreciated, no proceeds: gain or loss	$0.00
Useful lives	EQ-3388 on 60 months, not the policy's 84; fully depreciated and still working: FY2026 depreciation understated (DEP-01)	$42,857.14
Impairment	The slipform paver EQ-4022, idle and listed for sale: write-down if held for sale (IMP-01)	$136,400.00
Crane rental	A 36-month, non-cancellable crane rental expensed as a rental: lease liability not recorded (LEASE-02)	$448,826.56
Office lease	The five-year extension disclosed only, at a flat rent: lease liability not recorded (LEASE-01)	$970,390.27
Leases, total	Lease liabilities missing from the balance sheet, more than four times materiality	$1,419,216.83

Signature: none. This memo is not an audit report and gives no opinion. The CPA reviews the workpapers, decides every open item and concludes. No adjustment has been posted.

DRAFT FOR THE CPA

Draft Findings Memo

Against Materiality

Known misstatements in income, added up (CAP-01, DEP-01, LEASE-01)	**$84,310.93**
Lease liabilities not recorded (LEASE-01, LEASE-02)	$1,419,216.83
Right-of-use asset, office lease (LEASE-01)	$963,156.48
Judgment: paver write-down if held for sale (IMP-01)	$136,400.00
Performance materiality	$262,500.00
Materiality	$350,000.00

What was done

The machine agreed the fixed asset register to the trial balance at both year ends and rolled cost and accumulated depreciation forward account by account. It vouched every addition to its invoice and to a signed request, read every invoice line, tested the disposal against the recycler's certificate, recomputed depreciation on every asset, compared every life with the policy and read the hours log. It tested every rental agreement and the office lease under ASC 842 and recomputed both leases at the policy's 6.75%.

What the records support

The roll-forward and the year's depreciation agree with the books to the cent. All seven additions agree with their invoices and five are approved in full, the excavator and the three site office trailers among them; the disposal is right. Six of the seven rentals are properly short-term.

What the CPA decides before concluding

1. Recording both leases on the balance sheet, and what that does to the Ferncastle covenants (LEASE-01, LEASE-02). 2. The repair and the excavator's life, and whether the earlier years' part is a correction of an error (CAP-01, DEP-01). 3. Whether the paver is held for sale (IMP-01). 4. The unapproved purchase as a control deficiency (APR-01). 5. The crane life estimate (LIFE-01). 6. The representation letter (MRL-01).

What the machine does not do

It does not give an opinion, write the audit report, sign anything or post an adjustment. Concluding is the CPA's job; the machine stops here.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Contract Revenue, the Benchmark

$71,055,500.00

Workbook: Planning!B16

Draft figure · the CPA reviews and concludes

Planning!B16 = $71,055,500.00

=B15

Planning!B15 = $71,055,500.00

=-('E01 Trial Balance'!C29+'E01 Trial Balance'!C30)

E01 Trial Balance!C29 = ($61,240,000.00)

E01 Trial Balance!C30 = ($9,815,500.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!C29, Trial Balance!C30

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Materiality, Proposed

$350,000.00

Workbook: Planning!B17

Draft figure · the CPA reviews and concludes

Planning!B17 = $350,000.00

=ROUNDDOWN(B16*B22/10000,0)*10000

Planning!B16 = $71,055,500.00

=B15

Planning!B15 = $71,055,500.00

=-('E01 Trial Balance'!C29+'E01 Trial Balance'!C30)

E01 Trial Balance!C29 = ($61,240,000.00)

E01 Trial Balance!C30 = ($9,815,500.00)

Planning!B22 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!C29, Trial Balance!C30

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Performance Materiality

$262,500.00

Workbook: Planning!B18

Draft figure · the CPA reviews and concludes

Planning!B18 = $262,500.00

=ROUND(B17*0.75,2)

Planning!B17 = $350,000.00

=ROUNDDOWN(B16*B22/10000,0)*10000

Planning!B16 = $71,055,500.00

=B15

Planning!B15 = $71,055,500.00

=-('E01 Trial Balance'!C29+'E01 Trial Balance'!C30)

E01 Trial Balance!C29 = ($61,240,000.00)

E01 Trial Balance!C30 = ($9,815,500.00)

Planning!B22 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!C29, Trial Balance!C30

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Roll-Forward · Equipment Cost, Rolled Forward

$9,940,000.00

Workbook: Roll-Forward!B11

Draft figure · the CPA reviews and concludes

Roll-Forward!B11 = $9,940,000.00

=B8+B9+B10

Roll-Forward!B8 = $8,812,000.00

='E01 Trial Balance'!D16

E01 Trial Balance!D16 = $8,812,000.00

Roll-Forward!B9 = $1,428,000.00

='E02 Additions And Disposals'!F16

E02 Additions And Disposals!F16 = $1,428,000.00

Roll-Forward!B10 = ($300,000.00)

='E02 Additions And Disposals'!F17

E02 Additions And Disposals!F17 = ($300,000.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D16

02 Fixed Assets/FY2026 fixed asset register.xlsx · Additions and Disposals!F16, Additions and Disposals!F17

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Roll-Forward · Roll-Forward Less the Trial Balance

$0.00

Workbook: Roll-Forward!B13

Draft figure · the CPA reviews and concludes

Roll-Forward!B13 = $0.00

=B11-B12

Roll-Forward!B11 = $9,940,000.00

=B8+B9+B10

Roll-Forward!B8 = $8,812,000.00

='E01 Trial Balance'!D16

E01 Trial Balance!D16 = $8,812,000.00

Roll-Forward!B9 = $1,428,000.00

='E02 Additions And Disposals'!F16

E02 Additions And Disposals!F16 = $1,428,000.00

Roll-Forward!B10 = ($300,000.00)

='E02 Additions And Disposals'!F17

E02 Additions And Disposals!F17 = ($300,000.00)

Roll-Forward!B12 = $9,940,000.00

='E01 Trial Balance'!C16

E01 Trial Balance!C16 = $9,940,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D16, Trial Balance!C16

02 Fixed Assets/FY2026 fixed asset register.xlsx · Additions and Disposals!F16, Additions and Disposals!F17

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Roll-Forward · Accumulated Depreciation, Rolled Forward

$4,815,000.00

Workbook: Roll-Forward!B18

Draft figure · the CPA reviews and concludes

Roll-Forward!B18 = $4,815,000.00

=B15+B16+B17

Roll-Forward!B15 = $3,879,000.00

=-'E01 Trial Balance'!D17

E01 Trial Balance!D17 = ($3,879,000.00)

Roll-Forward!B16 = $1,236,000.00

=SUMIF('E02 Asset Register'!D8:D36,"1550",'E02 Asset Register'!I8:I36)

E02 Asset Register!D8 = 1500

E02 Asset Register!D9 = 1550

E02 Asset Register!D10 = 1550

E02 Asset Register!D11 = 1550

E02 Asset Register!D12 = 1550

E02 Asset Register!D13 = 1550

E02 Asset Register!D14 = 1550

E02 Asset Register!D15 = 1550

E02 Asset Register!D16 = 1550

E02 Asset Register!D17 = 1550

E02 Asset Register!D18 = 1550

E02 Asset Register!D19 = 1550

E02 Asset Register!D20 = 1550

E02 Asset Register!D21 = 1550

E02 Asset Register!D22 = 1550

E02 Asset Register!D23 = 1550

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D17

02 Fixed Assets/FY2026 fixed asset register.xlsx · Asset Register!D8, Asset Register!D9, Asset Register!D10, Asset Register!D11, Asset Register!D12, Asset Register!D13

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Additions · Additions, Vouched to Invoices

$1,428,000.00

Workbook: Additions!B16

Draft figure · the CPA reviews and concludes

Additions!B16 = $1,428,000.00

=SUM(B8:B14)

Additions!B8 = $412,000.00

='E02 Asset Register'!F30

E02 Asset Register!F30 = $412,000.00

Additions!B9 = $186,500.00

='E02 Asset Register'!F31

E02 Asset Register!F31 = $186,500.00

Additions!B10 = $338,000.00

='E02 Asset Register'!F32

E02 Asset Register!F32 = $338,000.00

Additions!B11 = $148,750.00

='E02 Asset Register'!F33

E02 Asset Register!F33 = $148,750.00

Additions!B12 = $96,600.00

='E02 Asset Register'!F34

E02 Asset Register!F34 = $96,600.00

Additions!B13 = $84,150.00

='E02 Asset Register'!F35

E02 Asset Register!F35 = $84,150.00

Additions!B14 = $162,000.00

='E02 Asset Register'!F36

E02 Asset Register!F36 = $162,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Fixed Assets/FY2026 fixed asset register.xlsx · Asset Register!F30, Asset Register!F31, Asset Register!F32, Asset Register!F33, Asset Register!F34, Asset Register!F35

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Additions · Repair Capitalized (CAP-01)

$34,800.00

Workbook: Additions!B18

Draft figure · the CPA reviews and concludes

Additions!B18 = $34,800.00

='E03 Invoices'!B57

E03 Invoices!B57 = $34,800.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Additions/FY2026 equipment purchase invoices.pdf · PDF pages 1-7, one invoice per page: vendor, number, date, ship-to, lines and total due

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Additions · Income Overstated by the Repair (CAP-01)

$34,220.00

Workbook: Additions!B20

Draft figure · the CPA reviews and concludes

Additions!B20 = $34,220.00

=B18-B19

Additions!B18 = $34,800.00

='E03 Invoices'!B57

E03 Invoices!B57 = $34,800.00

Additions!B19 = $580.00

=ROUND(B18*1/'E02 Asset Register'!G36,2)

E02 Asset Register!G36 = $60.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Additions/FY2026 equipment purchase invoices.pdf · PDF pages 1-7, one invoice per page: vendor, number, date, ship-to, lines and total due

02 Fixed Assets/FY2026 fixed asset register.xlsx · Asset Register!G36

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Additions · Addition With No Approval (APR-01)

$84,150.00

Workbook: Additions!B22

Draft figure · the CPA reviews and concludes

Additions!B22 = $84,150.00

=B13

Additions!B13 = $84,150.00

='E02 Asset Register'!F35

E02 Asset Register!F35 = $84,150.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Fixed Assets/FY2026 fixed asset register.xlsx · Asset Register!F35

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Disposals · Gain or Loss on the Disposal

$0.00

Workbook: Disposals!B12

Draft figure · the CPA reviews and concludes

Disposals!B12 = $0.00

=B11-B10

Disposals!B11 = $0.00

='E05 Disposal'!B13

E05 Disposal!B13 = $0.00

Disposals!B10 = $0.00

=B8-B9

Disposals!B8 = $300,000.00

='E02 Asset Register'!F10

E02 Asset Register!F10 = $300,000.00

Disposals!B9 = $300,000.00

='E02 Asset Register'!H10+'E02 Asset Register'!I10

E02 Asset Register!H10 = $300,000.00

E02 Asset Register!I10 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

04 Disposals/EQ-3102 certificate of destruction.pdf · PDF page 1; the recycler's certificate for EQ-3102 and the scrap settlement
02 Fixed Assets/FY2026 fixed asset register.xlsx · Asset Register!F10, Asset Register!H10, Asset Register!I10

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Depreciation · Depreciation, Recomputed

$1,351,000.00

Workbook: Depreciation!C37

Draft figure · the CPA reviews and concludes

Depreciation!C37 = $1,351,000.00

=SUM(C8:C36)

Depreciation!C8 = $115,000.00

=MIN(ROUND(B8*MAX(0,MIN(12,(2026-YEAR(DATEVALUE('E02 Asset Register'!E8)))*12+6-MONTH(DATEVALUE('E02 Asset Register'!E8))+1))/'E02 Asset Register'!G8,2),B8-'E02 Asset Register'!H8)

Depreciation!B8 = $4,600,000.00

='E02 Asset Register'!F8

E02 Asset Register!F8 = $4,600,000.00

E02 Asset Register!E8 = 2020-07-01

E02 Asset Register!G8 = $480.00

E02 Asset Register!H8 = $575,000.00

Depreciation!C9 = $0.00

=MIN(ROUND(B9*MAX(0,MIN(12,(2026-YEAR(DATEVALUE('E02 Asset Register'!E9)))*12+6-MONTH(DATEVALUE('E02 Asset Register'!E9))+1))/'E02 Asset Register'!G9,2),B9-'E02 Asset Register'!H9)

Depreciation!B9 = $369,460.33

='E02 Asset Register'!F9

E02 Asset Register!F9 = $369,460.33

E02 Asset Register!E9 = 2012-07-01

E02 Asset Register!G9 = $120.00

E02 Asset Register!H9 = $369,460.33

Depreciation!C10 = $0.00

=MIN(ROUND(B10*MAX(0,MIN(12,(2026-YEAR(DATEVALUE('E02 Asset Register'!E10)))*12+6-MONTH(DATEVALUE('E02 Asset Register'!E10))+1))/'E02 Asset Register'!G10,2),B10-'E02 Asset Register'!H10)

Depreciation!B10 = $300,000.00

='E02 Asset Register'!F10

E02 Asset Register!F10 = $300,000.00
Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Fixed Assets/FY2026 fixed asset register.xlsx · Asset Register!F8, Asset Register!E8, Asset Register!G8, Asset Register!H8, Asset Register!F9, Asset Register!E9

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Depreciation · Depreciation Less the Register

$0.00

Workbook: Depreciation!E37

Draft figure · the CPA reviews and concludes

Depreciation!E37 = $0.00

=C37-D37

Depreciation!C37 = $1,351,000.00

=SUM(C8:C36)

Depreciation!C8 = $115,000.00

=MIN(ROUND(B8*MAX(0,MIN(12,(2026-YEAR(DATEVALUE('E02 Asset Register'!E8)))*12+6-MONTH(DATEVALUE('E02 Asset Register'!E8))+1))/'E02 Asset Register'!G8,2),B8-'E02 Asset Register'!H8)

Depreciation!B8 = $4,600,000.00

='E02 Asset Register'!F8

E02 Asset Register!F8 = $4,600,000.00

E02 Asset Register!E8 = 2020-07-01

E02 Asset Register!G8 = $480.00

E02 Asset Register!H8 = $575,000.00

Depreciation!C9 = $0.00

=MIN(ROUND(B9*MAX(0,MIN(12,(2026-YEAR(DATEVALUE('E02 Asset Register'!E9)))*12+6-MONTH(DATEVALUE('E02 Asset Register'!E9))+1))/'E02 Asset Register'!G9,2),B9-'E02 Asset Register'!H9)

Depreciation!B9 = $369,460.33

='E02 Asset Register'!F9

E02 Asset Register!F9 = $369,460.33

E02 Asset Register!E9 = 2012-07-01

E02 Asset Register!G9 = $120.00

E02 Asset Register!H9 = $369,460.33

Depreciation!C10 = $0.00

=MIN(ROUND(B10*MAX(0,MIN(12,(2026-YEAR(DATEVALUE('E02 Asset Register'!E10)))*12+6-MONTH(DATEVALUE('E02 Asset Register'!E10))+1))/'E02 Asset Register'!G10,2),B10-'E02 Asset Register'!H10)

Depreciation!B10 = $300,000.00

='E02 Asset Register'!F10

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Fixed Assets/FY2026 fixed asset register.xlsx · Asset Register!F8, Asset Register!E8, Asset Register!G8, Asset Register!H8, Asset Register!F9, Asset Register!E9

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Lives · EQ-3388 Depreciation at the Policy Life (DEP-01)

$42,857.14

Workbook: Lives and Impairment!B13

Draft figure · the CPA reviews and concludes

Lives and Impairment!B13 = $42,857.14

=ROUND(B12*12/B9,2)

Lives and Impairment!B12 = $300,000.00

='E02 Asset Register'!F12

E02 Asset Register!F12 = $300,000.00

Lives and Impairment!B9 = 84

='E07 Policy'!B12

E07 Policy!B12 = $84.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Fixed Assets/FY2026 fixed asset register.xlsx · Asset Register!F12

06 Policies/Fixed asset and lease accounting policy.docx · Word document; capitalization, cost, depreciation, approval, useful lives, impairment and leases

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Lives · EQ-3388 Accumulated Depreciation Overstated (DEP-01)

$21,428.57

Workbook: Lives and Impairment!B16

Draft figure · the CPA reviews and concludes

Lives and Impairment!B16 = $21,428.57

=B15-B14

Lives and Impairment!B15 = $300,000.00

='E02 Asset Register'!L12

E02 Asset Register!L12 = $300,000.00

Lives and Impairment!B14 = $278,571.43

=ROUND(B12*B10/B9,2)

Lives and Impairment!B12 = $300,000.00

='E02 Asset Register'!F12

E02 Asset Register!F12 = $300,000.00

Lives and Impairment!B10 = 78

=((2026-YEAR(DATEVALUE('E02 Asset Register'!E12)))*12+6-MONTH(DATEVALUE('E02 Asset Register'!E12))+1)

E02 Asset Register!E12 = 2020-01-01

Lives and Impairment!B9 = 84

='E07 Policy'!B12

E07 Policy!B12 = $84.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Fixed Assets/FY2026 fixed asset register.xlsx · Asset Register!L12, Asset Register!F12, Asset Register!E12

06 Policies/Fixed asset and lease accounting policy.docx · Word document; capitalization, cost, depreciation, approval, useful lives, impairment and leases

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Impairment · Idle Paver Net Book Value (IMP-01)

$427,800.00

Workbook: Lives and Impairment!B23

Draft figure · the CPA reviews and concludes

Lives and Impairment!B23 = $427,800.00

='E02 Asset Register'!M26

E02 Asset Register!M26 = $427,800.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Fixed Assets/FY2026 fixed asset register.xlsx · Asset Register!M26

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Impairment · Write-Down if Held for Sale (IMP-01)

$136,400.00

Workbook: Lives and Impairment!B27

Draft figure · the CPA reviews and concludes

Lives and Impairment!B27 = $136,400.00

=MAX(0,B23-B26)

Lives and Impairment!B23 = $427,800.00

='E02 Asset Register'!M26

E02 Asset Register!M26 = $427,800.00

Lives and Impairment!B26 = $291,400.00

=ROUND(B24*(1-B25),2)

Lives and Impairment!B24 = $310,000.00

='E06 Listed For Sale'!E8

E06 Listed For Sale!E8 = $310,000.00

Lives and Impairment!B25 = 6.000%

='E06 Listed For Sale'!F8

E06 Listed For Sale!F8 = $0.06

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Fixed Assets/FY2026 fixed asset register.xlsx · Asset Register!M26

05 Equipment Use/FY2026 equipment hours log.xlsx · Listed for Sale!E8, Listed for Sale!F8

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leases · Crane Lease Expensed as a Rental (LEASE-02)

$185,000.00

Workbook: Leases!B18

Draft figure · the CPA reviews and concludes

Leases!B18 = $185,000.00

=B9

Leases!B9 = $185,000.00

='E08 Rentals'!H9

E08 Rentals!H9 = $185,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

07 Leases/FY2026 equipment rental register.xlsx · Rentals!H9

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leases · Crane Lease Present Value at Commencement (LEASE-02)

$604,756.04

Workbook: Lease Calc!B34

Draft figure · the CPA reviews and concludes

Lease Calc!B34 = $604,756.04

=ROUND(PV(B8,B33,-B32,0,1),2)

Lease Calc!B8 = 0.563%

='E07 Policy'!B11/12

E07 Policy!B11 = $0.07

Lease Calc!B33 = 36

='E09 Crane Agreement'!B13

E09 Crane Agreement!B13 = $36.00

Lease Calc!B32 = $18,500.00

='E09 Crane Agreement'!B14

E09 Crane Agreement!B14 = $18,500.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Policies/Fixed asset and lease accounting policy.docx · Word document; capitalization, cost, depreciation, approval, useful lives, impairment and leases

07 Leases/Northline Crane Supply rental agreement NCS-RA-2291.pdf · PDF page 1; term, rent, cancellation, options, use and replacement value

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leases · Crane Lease Liability, June 30, 2026 (LEASE-02)

$448,826.56

Workbook: Lease Calc!B36

Draft figure · the CPA reviews and concludes

Lease Calc!B36 = $448,826.56

=ROUND(PV(B8,B33-B35,-B32,0,1),2)

Lease Calc!B8 = 0.563%

='E07 Policy'!B11/12

E07 Policy!B11 = $0.07

Lease Calc!B33 = 36

='E09 Crane Agreement'!B13

E09 Crane Agreement!B13 = $36.00

Lease Calc!B35 = 10

=((2026-YEAR(DATEVALUE('E09 Crane Agreement'!B11)))*12+6-MONTH(DATEVALUE('E09 Crane Agreement'!B11))+1)

E09 Crane Agreement!B11 = 2025-09-01

Lease Calc!B32 = $18,500.00

='E09 Crane Agreement'!B14

E09 Crane Agreement!B14 = $18,500.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Policies/Fixed asset and lease accounting policy.docx · Word document; capitalization, cost, depreciation, approval, useful lives, impairment and leases

07 Leases/Northline Crane Supply rental agreement NCS-RA-2291.pdf · PDF page 1; term, rent, cancellation, options, use and replacement value

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leases · Office Lease Liability, June 30, 2026 (LEASE-01)

$970,390.27

Workbook: Lease Calc!B15

Draft figure · the CPA reviews and concludes

Lease Calc!B15 = $970,390.27

=ROUND(PV(B8,C9,-B9,0,1)+PV(B8,C10,-B10,0,1)/(1+B8)^6+PV(B8,C11,-B11,0,1)/(1+B8)^18+PV(B8,C12,-B12,0,1)/(1+B8)^30+PV(B8,C13,-B13,0,1)/(1+B8

Lease Calc!B8 = 0.563%

='E07 Policy'!B11/12

E07 Policy!B11 = $0.07

Lease Calc!C9 = 6

Lease Calc!B9 = $19,500.00

='E10 Office Lease'!B16

E10 Office Lease!B16 = $19,500.00

Lease Calc!C10 = 12

Lease Calc!B10 = $20,085.00

='E10 Office Lease'!B17

E10 Office Lease!B17 = $20,085.00

Lease Calc!C11 = 12

Lease Calc!B11 = $20,687.55

='E10 Office Lease'!B18

E10 Office Lease!B18 = $20,687.55

Lease Calc!C12 = 12

Lease Calc!B12 = $21,308.18

='E10 Office Lease'!B19

E10 Office Lease!B19 = $21,308.18

Lease Calc!C13 = 12

Lease Calc!B13 = $21,947.43

='E10 Office Lease'!B20

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Policies/Fixed asset and lease accounting policy.docx · Word document; capitalization, cost, depreciation, approval, useful lives, impairment and leases

07 Leases/Harbor Ridge office lease first amendment.pdf · PDF page 1; the extended term and the base rent by year

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leases · Office Right-of-Use Asset (LEASE-01)

$963,156.48

Workbook: Lease Calc!B24

Draft figure · the CPA reviews and concludes

Lease Calc!B24 = $963,156.48
=B15-B23

Lease Calc!B15 = $970,390.27
=ROUND(PV(B8,C9,-B9,0,1)+PV(B8,C10,-B10,0,1)/(1+B8)^6+PV(B8,C11,-B11,0,1)/(1+B8)^18+PV(B8,C12,-B12,0,1)/(1+B8)^30+PV(B8,C13,-B13,0,1)/(1+B8

Lease Calc!B8 = 0.563%
='E07 Policy'!B11/12

E07 Policy!B11 = $0.07

Lease Calc!C9 = 6

Lease Calc!B9 = $19,500.00
='E10 Office Lease'!B16

E10 Office Lease!B16 = $19,500.00

Lease Calc!C10 = 12

Lease Calc!B10 = $20,085.00
='E10 Office Lease'!B17

E10 Office Lease!B17 = $20,085.00

Lease Calc!C11 = 12

Lease Calc!B11 = $20,687.55
='E10 Office Lease'!B18

E10 Office Lease!B18 = $20,687.55

Lease Calc!C12 = 12

Lease Calc!B12 = $21,308.18
='E10 Office Lease'!B19

E10 Office Lease!B19 = $21,308.18

Lease Calc!C13 = 12

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Policies/Fixed asset and lease accounting policy.docx · Word document; capitalization, cost, depreciation, approval, useful lives, impairment and leases

07 Leases/Harbor Ridge office lease first amendment.pdf · PDF page 1; the extended term and the base rent by year

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leases · Office Rent Understated (LEASE-01)

$7,233.79

Workbook: Lease Calc!B23

Draft figure · the CPA reviews and concludes

Lease Calc!B23 = $7,233.79
=B21-B22

Lease Calc!B21 = $124,233.79
=ROUND(B19*B20/'E10 Office Lease'!B15,2)

Lease Calc!B19 = $1,242,337.92
=12*(B9+B10+B11+B12+B13)

Lease Calc!B9 = $19,500.00
='E10 Office Lease'!B16

E10 Office Lease!B16 = $19,500.00

Lease Calc!B10 = $20,085.00
='E10 Office Lease'!B17

E10 Office Lease!B17 = $20,085.00

Lease Calc!B11 = $20,687.55
='E10 Office Lease'!B18

E10 Office Lease!B18 = $20,687.55

Lease Calc!B12 = $21,308.18
='E10 Office Lease'!B19

E10 Office Lease!B19 = $21,308.18

Lease Calc!B13 = $21,947.43
='E10 Office Lease'!B20

E10 Office Lease!B20 = $21,947.43

Lease Calc!B20 = 6
=((2026-YEAR(DATEVALUE('E10 Office Lease'!B13)))*12+6-MONTH(DATEVALUE('E10 Office Lease'!B13))+1)

E10 Office Lease!B13 = 2026-01-01

E10 Office Lease!B15 = $60.00

Source files and cells (the full formula chain is in the workbook and on the review screen):
07 Leases/Harbor Ridge office lease first amendment.pdf · PDF page 1; the extended term and the base rent by year

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leases · Controller's Disclosure Understated (LEASE-01)

$59,363.50

Workbook: Lease Calc!B26

Draft figure · the CPA reviews and concludes

Lease Calc!B26 = $59,363.50
=B15-B25

Lease Calc!B15 = $970,390.27
=ROUND(PV(B8,C9,-B9,0,1)+PV(B8,C10,-B10,0,1)/(1+B8)^6+PV(B8,C11,-B11,0,1)/(1+B8)^18+PV(B8,C12,-B12,0,1)/(1+B8)^30+PV(B8,C13,-B13,0,1)/(1+B8

Lease Calc!B8 = 0.563%
='E07 Policy'!B11/12

E07 Policy!B11 = $0.07

Lease Calc!C9 = 6

Lease Calc!B9 = $19,500.00
='E10 Office Lease'!B16

E10 Office Lease!B16 = $19,500.00

Lease Calc!C10 = 12

Lease Calc!B10 = $20,085.00
='E10 Office Lease'!B17

E10 Office Lease!B17 = $20,085.00

Lease Calc!C11 = 12

Lease Calc!B11 = $20,687.55
='E10 Office Lease'!B18

E10 Office Lease!B18 = $20,687.55

Lease Calc!C12 = 12

Lease Calc!B12 = $21,308.18
='E10 Office Lease'!B19

E10 Office Lease!B19 = $21,308.18

Lease Calc!C13 = 12

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Policies/Fixed asset and lease accounting policy.docx · Word document; capitalization, cost, depreciation, approval, useful lives, impairment and leases
07 Leases/Harbor Ridge office lease first amendment.pdf · PDF page 1; the extended term and the base rent by year
07 Leases/FY2026 lease schedule.xlsx · Lease Schedule!H8

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Leases · Lease Liabilities Not Recorded

$1,419,216.83

Workbook: Lease Calc!B43

Draft figure · the CPA reviews and concludes

Lease Calc!B43 = $1,419,216.83
=B15+B36

Lease Calc!B15 = $970,390.27
=ROUND(PV(B8,C9,-B9,0,1)+PV(B8,C10,-B10,0,1)/(1+B8)^6+PV(B8,C11,-B11,0,1)/(1+B8)^18+PV(B8,C12,-B12,0,1)/(1+B8)^30+PV(B8,C13,-B13,0,1)/(1+B8

Lease Calc!B8 = 0.563%
='E07 Policy'!B11/12

E07 Policy!B11 = $0.07

Lease Calc!C9 = 6

Lease Calc!B9 = $19,500.00
='E10 Office Lease'!B16

E10 Office Lease!B16 = $19,500.00

Lease Calc!C10 = 12

Lease Calc!B10 = $20,085.00
='E10 Office Lease'!B17

E10 Office Lease!B17 = $20,085.00

Lease Calc!C11 = 12

Lease Calc!B11 = $20,687.55
='E10 Office Lease'!B18

E10 Office Lease!B18 = $20,687.55

Lease Calc!C12 = 12

Lease Calc!B12 = $21,308.18
='E10 Office Lease'!B19

E10 Office Lease!B19 = $21,308.18

Lease Calc!C13 = 12

Source files and cells (the full formula chain is in the workbook and on the review screen):

06 Policies/Fixed asset and lease accounting policy.docx · Word document; capitalization, cost, depreciation, approval, useful lives, impairment and leases

07 Leases/Harbor Ridge office lease first amendment.pdf · PDF page 1; the extended term and the base rent by year

07 Leases/Northline Crane Supply rental agreement NCS-RA-2291.pdf · PDF page 1; term, rent, cancellation, options, use and replacement value

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Adjustments · Known Misstatements in Income, Added Up $84,310.93

Workbook: Adjustments!B12

Draft figure · the CPA reviews and concludes

Adjustments!B12 = $84,310.93

=B8+B9+B10

Adjustments!B8 = $34,220.00

='Additions'!B20

Additions!B20 = $34,220.00

=B18-B19

Additions!B18 = $34,800.00

='E03 Invoices'!B57

E03 Invoices!B57 = $34,800.00

Additions!B19 = $580.00

=ROUND(B18*1/'E02 Asset Register'!G36,2)

E02 Asset Register!G36 = $60.00

Adjustments!B9 = $42,857.14

='Lives and Impairment'!B13

Lives and Impairment!B13 = $42,857.14

=ROUND(B12*12/B9,2)

Lives and Impairment!B12 = $300,000.00

='E02 Asset Register'!F12

E02 Asset Register!F12 = $300,000.00

Lives and Impairment!B9 = 84

='E07 Policy'!B12

E07 Policy!B12 = $84.00

Adjustments!B10 = $7,233.79

='Lease Calc'!B23

Lease Calc!B23 = $7,233.79

=B21-B22

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Additions/FY2026 equipment purchase invoices.pdf · PDF pages 1-7, one invoice per page: vendor, number, date, ship-to, lines and total due

02 Fixed Assets/FY2026 fixed asset register.xlsx · Asset Register!G36, Asset Register!F12

06 Policies/Fixed asset and lease accounting policy.docx · Word document; capitalization, cost, depreciation, approval, useful lives, impairment and leases

07 Leases/Harbor Ridge office lease first amendment.pdf · PDF page 1; the extended term and the base rent by year

Original documents are attached to this PDF. The workbook is attached too.

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WHAT STILL NEEDS A PERSON

LEASE-02 · $448,826.56: Northline Crane Supply agreement NCS-RA-2291 rents HGC a crawler crane for 36 months from September 1, 2025 at $18,500.00 a month, which HGC may not end early. It is a lease, not short-term, and an operating lease by the five tests. It is expensed as a rental and missing from the lease schedule. Proposed: record a right-of-use asset and a lease liability of $448,826.56 at June 30, 2026 ($199,035.79 current, $249,790.77 long-term), discounted at the policy's 6.75%. Income is unaffected. The machine never posts.

LEASE-01 · $970,390.27: The office lease was extended 60 months from January 1, 2026 on December 12, 2025. It is an operating lease and must be recognized; the controller only discloses it, at a flat $19,500.00. Recomputed with the 3% steps: lease liability $970,390.27 ($178,748.07 current), right-of-use asset $963,156.48, and rent expense $7,233.79 below the straight-line lease cost for January to June 2026. The disclosure's liability is $59,363.50 too low as well.

CAP-01 · $34,800.00: Cascade Iron invoice CIE-26-30612 for the skid steer EQ-4416 includes work order WO-6127, $34,800.00 to rebuild the hydraulic pump and final drives of excavator EQ-3388. Policy 2 expenses repairs. Proposed: credit equipment $34,800.00, debit repairs $34,800.00, and reverse June's $580.00 of depreciation. Income is overstated $34,220.00. The partner's request for EQ-4416 approved $127,200.00, which leaves the repair out.

DEP-01 · $42,857.14: EQ-3388, bought used in January 2020, is on the register at 60 months; Policy 4 says 84 for its class. It was fully depreciated in December 2024 but worked 1,420 hours this year. At 84 months, FY2026 depreciation is $42,857.14 more and accumulated depreciation $21,428.57 less at June 30, 2026; $64,285.71 belongs to earlier years, a correction of an error if the CPA treats it so. The machine never posts.

IMP-01 · $136,400.00: EQ-4022, Slipform concrete paver, has been idle since September 2025 and was listed for sale on May 18, 2026 at $310,000.00. Net book value $427,800.00. If held for sale, it is measured at $291,400.00 after commission: a $136,400.00 write-down. If not, the partners test recoverability from its expected cash flows. The CPA reads the listing and the partners' intent and decides.

APR-01 · $84,150.00: EQ-4415, GPS survey and layout equipment from Benchline Instruments, $84,150.00 on April 27, 2026, has no capital expenditure request. Policy 5 needs a partner's signed request before an order over $25,000. The invoice and the equipment are real (it logged hours from April); the control did not work. The CPA considers it for the communication of control deficiencies and asks who ordered it.

LIFE-01 · $369,460.33: Four fully depreciated units still work, among them EQ-2740, the 2012 crawler crane, 1,180 hours this year at its full 10-year class life. Policy 6 asks the controller to review lives each year end; there is no record that it was done. The CPA considers whether the crane life is too short (a change in estimate, going forward).

MAT-01 · $350,000.00: Materiality is proposed at $350,000.00, 0.5% of the year's revenue, with performance materiality $262,500.00 and clearly trivial $17,500.00. The engagement partner sets the final amounts for the whole audit.

MRL-01: No management representation letter has been obtained. It should cover the completeness of the lease list, the partners' intent for the paver and the useful lives.

SIGN-01: These are draft workpapers and a draft findings memo for the engagement partner. They are not an audit report and give no opinion. Nothing has been signed, posted or sent.

This memo is a draft for the engagement partner. It is not an audit report and gives no opinion; nothing has been signed, posted or sent.

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